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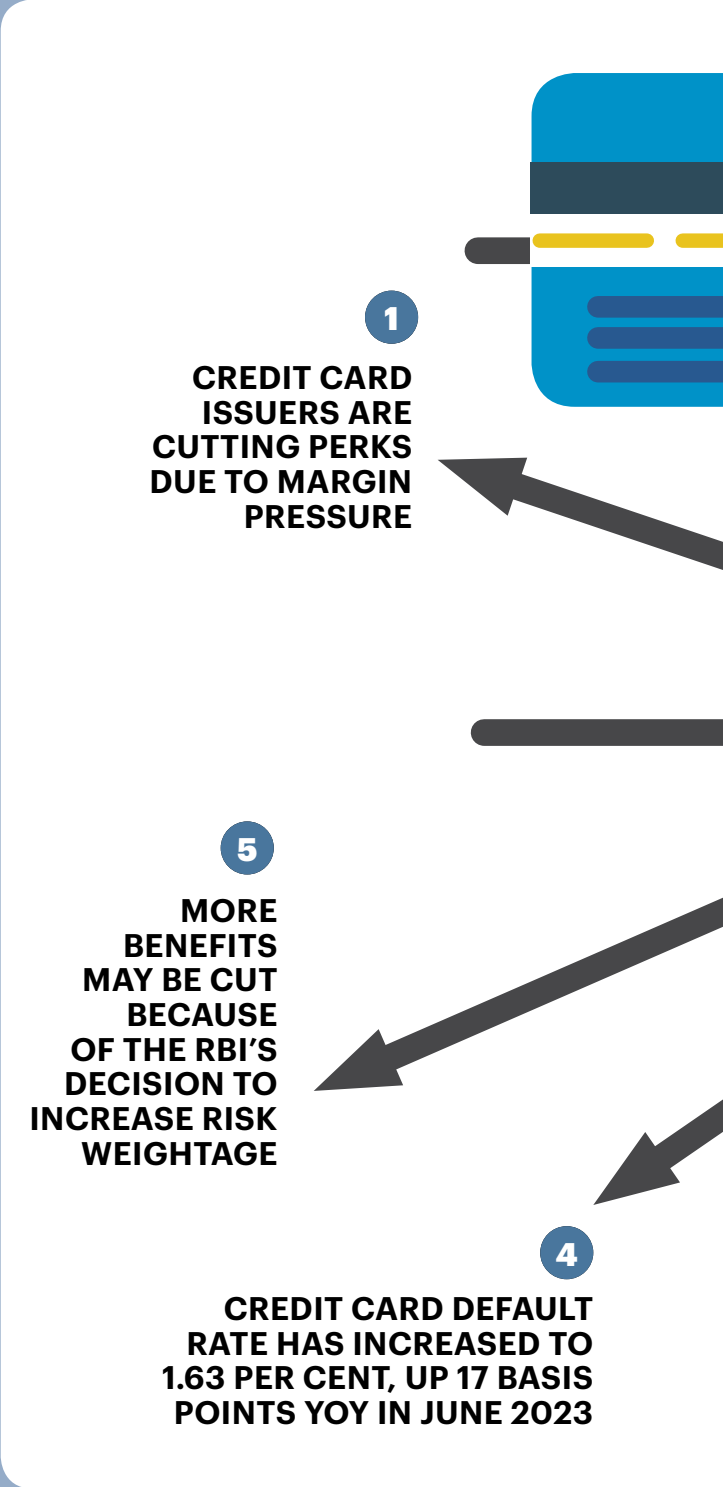
GRAPPLING WITH DECREASING REVOLVER RATES, MARGIN PRES
CARD PROVIDERS ARE TRIMMING BENEFITS. WHAT DOES

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DINING AT AIRPORTS can be a seriously pricey affair. A simple *vada pav*—that costs around ₹50 in an average outlet outside an airport—could potentially be found being sold at five times that price at ₹250 inside airports. If you decide to get it on the plane, the expenses multiply further. Smelling an opportunity, credit card providers were offering complimentary lounge access with some of their cards, making them more appealing for cardholders. For a nominal fee of just ₹1, cardholders could access and enjoy the luxurious buffet available in lounges across airports. This perk has swiftly become one of the most sought-after privileges associated with credit cards after the surge in air-travel post the Covid-19 pandemic.

However, the situation is in a flux now. Long queues for entry into airport lounges is a common sight at almost all major airports today. And even if you manage to get inside, securing a comfortable table requires another massive stroke of luck. The surge in post-pandemic travel has unexpectedly heightened the demand for this perk, surpassing the lounge demand from the pre-Covid-19 era.

This heightened demand has consequently resulted in increased expenses for credit card providers, as they pay for the lounge access of cardholders on their behalf. But the announcement by the banking regulator Reserve Bank of India of an increase in the risk weight of unsecured loans and credit cards might further accelerate the rethink among credit card issuers about the perks they provide. And lounge



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CREDIT CARD ISSUERS ARE CUTTING PERKS DUE TO MARGIN PRESSURE

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MORE BENEFITS MAY BE CUT BECAUSE OF THE RBI'S DECISION TO INCREASE RISK WEIGHTAGE

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CREDIT CARD DEFAULT RATE HAS INCREASED TO 1.63 PER CENT, UP 17 BASIS POINTS YOY IN JUNE 2023